

Best Loser Wins

A high stakes day trader argues that the reason most traders lose is not strategy, and not information. It is that **normal human wiring does the exact opposite of what markets pay for**. Here is the wiring, and here is the flip.

01 The wiring

You own two plants. One is growing. One is dying. **Almost every person pulls up the growing one to show someone, and keeps watering the dead one.** That is the whole book in a sentence, and it is not a character flaw. It is standard human wiring.

- **A profit feels fragile.** Taking it early turns a maybe into a certainty, and certainty feels like safety.
- **A loss feels temporary.** Holding it keeps the loss theoretical (not yet real, because you have not closed the position), and theoretical does not hurt.
- **So the average person books small wins and carries big losses.** Researchers call this the disposition effect (the tendency to sell winners early and hold losers long). It is measured, repeatable, and it is the default setting.

Hougaard's argument is that the market pays the opposite behaviour, so **doing what feels normal is the same as choosing to lose slowly.**

02 The flip

His title is not about losing more. It is about who handles a loss best. **The trader who can take a loss cleanly is free to hold the winner.** The two are the same skill seen from opposite ends.

- **You do not need to be right.** Being right is an ego payment. Expectancy (what the average trade pays you over many trades) is a money payment. They are not the same, and only one buys anything.
- **The market does not know you exist.** It has no opinion about your position, your account or your week. Every feeling about it happens entirely inside you.
- **Your account size is not the problem. Your reaction to the number is.** The same setup traded at ten units and at one unit is the same setup. What changes is you.
- **Normal thinking is the crowd.** If most people lose, then feeling comfortable is a warning, not a green light.

THE ONE IDEA

Everyone knows to cut losses and let winners run. Nobody struggles with knowing it. They struggle with doing it while it hurts. The gap between the two is not information. It is tolerance for pain, and tolerance can be trained.

SOURCES & NOTE

Sources: Tom Hougaard, Best Loser Wins, Harriman House 2021, publisher and reviewer summaries; tradertom.com resource pages; Hougaard YouTube talks including Q7nKecU-7sE.

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